

Healthy domestic demand should sustain the economy in the short run

- **Key changes:** We've raised our 2026 GDP growth forecast for Bulgaria to 3.6% – we now expect activity to hold up better than our previous 2.9% forecast. The main reason is stronger domestic demand, with household consumption in particular surprising to the upside in Q1. We've also lowered our 2026 inflation forecast slightly, as the recent US–Iran deal and the gradual reopening of the Strait of Hormuz should limit the persistence of the energy shock, although domestic price pressures remain substantial.
- **Short-term forecast:** We expect Bulgaria's economy to remain resilient in the near term, rather than slipping into the broader weakness seen elsewhere in Europe. Growth should continue to be supported by consumption, a tight labour market, and public investment linked to EU funds. A strong economy means inflation pressures will stay elevated, with core inflation substantially above the ECB's 2% target this year and next, despite the expected fall in energy prices.
- **What to watch out for:** The durability of the US–Iran deal, the normalisation of traffic through the Strait of Hormuz, and the path of oil prices remain important for Bulgaria's near-term inflation outlook. Domestically, the key risk is whether strong consumption and public investment can persist without reigniting inflation or further widening external imbalances. The new political backdrop may reduce the deadlock that weighed on confidence, but policy execution, the absorption of EU funds, and euro-adoption-related price pressures remain important risks to monitor.

Table 1: Bulgaria forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	1.7	3.2	3.2	3.6	3.3	2.3
Private consumption	1.5	4.8	7.8	7.7	2.4	1.7
Industrial production	-8.3	-3.7	-7.2	-1.1	7.9	7.3
Employment	1.1	1.0	2.1	1.1	0.1	-0.3
Unemployment (%)	4.3	4.2	3.5	3.2	3.6	3.7
Government balance (% of GDP)	-2.0	-3.0	-3.5	-2.2	-1.9	-1.4
Gross government debt (% of GDP)	22.0	23.4	28.6	30.0	30.6	30.7
Current a/c balance (% of GDP)	-1.2	-0.5	-5.7	-8.0	-7.9	-7.2
Consumer prices	9.5	2.4	4.6	4.0	0.3	1.5
Central bank policy rate (% EOP)	4.0	3.0	2.0	2.3	2.0	2.0
10yr govt. bond yield (% EOP)	4.0	3.9	3.9	3.7	3.6	3.6
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

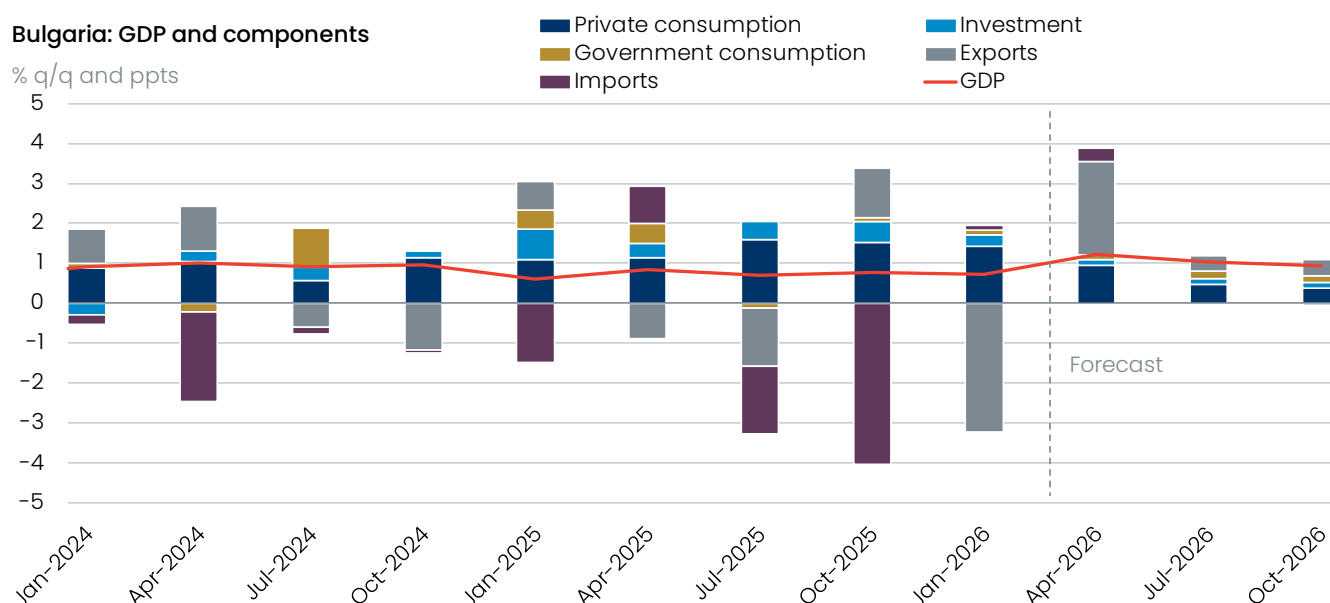
Baseline forecast

Recent developments

The Bulgarian economy grew by 0.7% q/q in Q1, only slightly slower than Q4's 0.8% gain. Domestic demand remained the main support, with final consumption up 1.7% q/q and investment increasing further, driven by a surge in government capital spending ([Chart 1](#)). By contrast, net trade remained a drag: exports fell sharply, while imports stayed elevated, leaving the external balance negative.

CPI inflation accelerated further, reaching 6.9% y/y in May, broadly unchanged from April's 6.8% but up sharply from 3.5% at the beginning of the year. Base effects played a large role in the acceleration, following the one-off fall in healthcare prices, especially hospital fees, in April 2025. Beyond that, transport remained the main pressure point, with prices rising 21.6% y/y, largely reflecting higher fuel prices in the wake of the Iran-related oil shock.

Chart 1: Private consumption growth will gradually normalise



Sources: Oxford Economics, Haver Analytics

Short-term forecast

We've raised our 2026 GDP growth forecast for Bulgaria by 0.7ppts to 3.6% and our 2027 growth forecast to 3.3%. The upward revisions mainly reflect a stronger domestic-demand outlook, particularly household consumption and investment, with EU-funded public investment providing additional support.

We've also lowered our inflation forecast, but only marginally, from 4.1% to 4.0% in 2026, as the energy shock looks a little less persistent following the US-Iran deal to reopen the Strait of Hormuz. Still, inflation is likely to remain elevated, driven by strong wage growth, services prices, and euro-adoption-related price pressures.

Policy assumptions

Fiscal policy. The failed attempt to pass the 2026 budget showed that political appetite for fiscal restraint remains limited, even as medium-term sustainability challenges become more visible. Spending pressures from pensions, public-sector wages, defence, and internal security continue to build. Meanwhile, the room to finance them

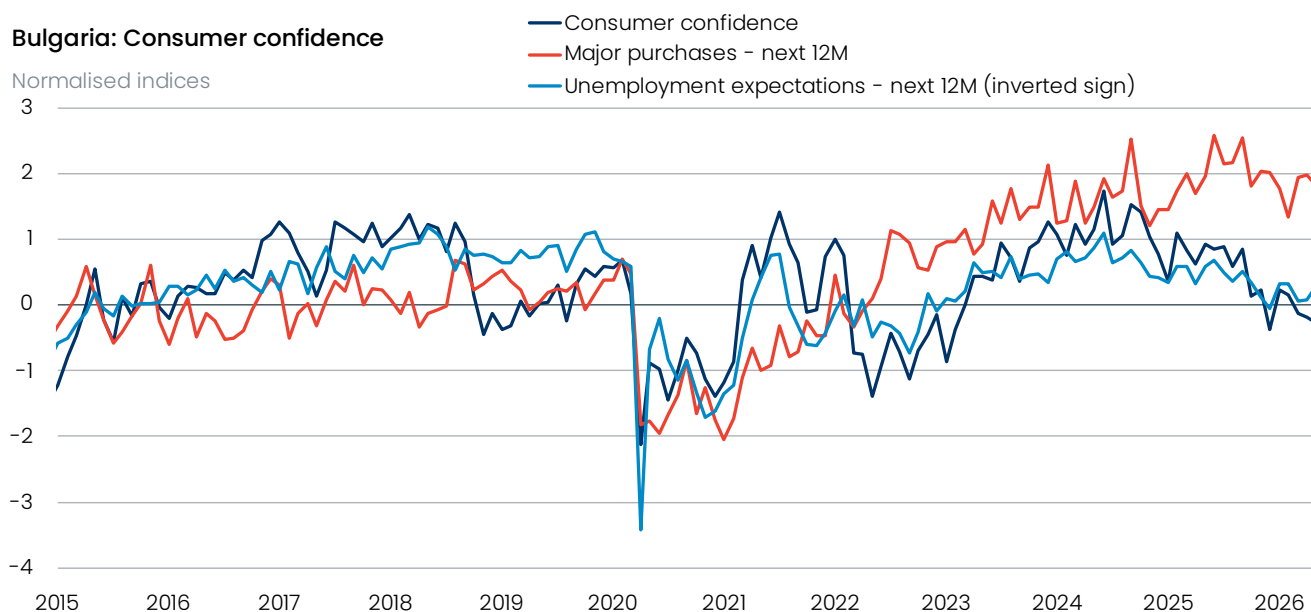
through new revenue measures appears politically constrained. Plans to raise social security contributions and dividend taxes triggered a backlash strong enough to force the withdrawal of the draft budget and ultimately contributed to the government's collapse. A new government led by Rumen Radev is now in place, but both the timing and the content of a durable 2026 budget agreement remain highly uncertain.

Monetary policy. Following the 25bps rate hike implemented in June, which we view as a recalibration effort, we expect no further policy moves from the European Central Bank this year. The June hike reflects a new era of frequent global supply shocks that require a more robust policy response, as well as the ECB's arguably hawkish bias since the inflation surge of 2022. However, given the recent US-Iran deal aimed at reopening the Strait of Hormuz and the subsequent fall in oil prices, we no longer expect additional rate hikes this year. We expect the ECB to cut rates again relatively quickly in 2027, bringing the deposit rate back to 2% as energy prices normalise.

Key drivers of short-term forecast

We expect consumer spending to slow after a strong year. Timely indicators suggest consumption will continue to grow in 2026, but at a slower pace than in 2025. Consumer confidence has fallen for the past few months ([Chart 2](#)). Retail sales also dipped in April after several months of particularly strong growth. We expect real incomes to continue expanding healthily in 2026, but we believe households will gradually turn more cautious due to the uncertain economic and political environment, denting consumption growth.

Chart 2: Consumer confidence has been declining despite strong hard data



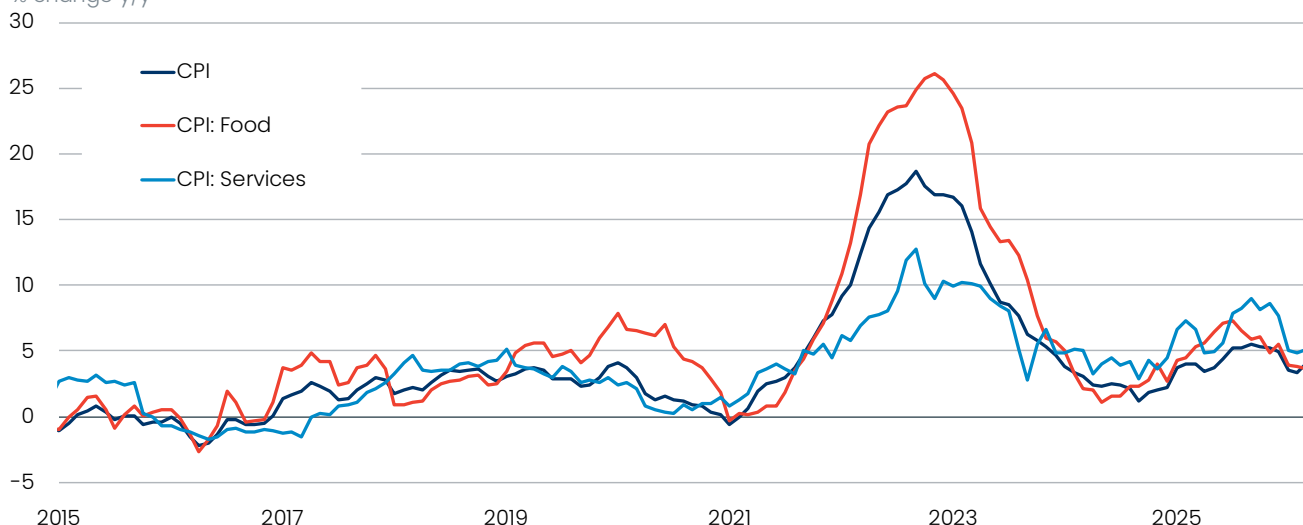
Sources: Oxford Economics, Haver Analytics

Inflationary pressures remain substantial. Inflation rebounded on base effects from April, while domestic price pressures more broadly remain significant. Meanwhile, the Iran supply shock is still feeding through to prices, even if the recent deal has reduced upside risks. Energy and transport prices are most exposed, but the preexisting inflationary backdrop makes it more likely that the shock will spread to other prices in the economy ([Chart 3](#)).

Chart 3: CPI rebounded on base effects and energy prices

Bulgaria: Inflation

% change y/y



Sources: Oxford Economics, Haver Analytics

Persistent political instability. After Rosen Zhelyazkov's government resigned in December, Bulgaria moved to a caretaker administration ahead of the April 19 snap election. The vote delivered a clearer outcome than previous elections, allowing the new Radev-led government to take office in May. This reduces the near-term risk of repeated elections, but it doesn't remove the policy uncertainty. The failed attempt to pass the 2026 budget showed that appetite for fiscal restraint remains limited, while spending pressures from pensions, public-sector wages, defence, and internal security continue to build.

Support from EU funds will be gradual. The lack of parliamentary agreement over the past few years has hindered much-needed structural reforms and the absorption of the EU's recovery and resilience facility (RRF) funds, which must be paid out by the end of 2026. So far, [53% of the RRF funds have been absorbed](#), below the EU average of 61%. Although some progress has been made on approving legislation on corruption, the judicial system, public procurement, and protection for whistleblowers, key bottlenecks remain due to unfulfilled commitments on anti-corruption and energy.

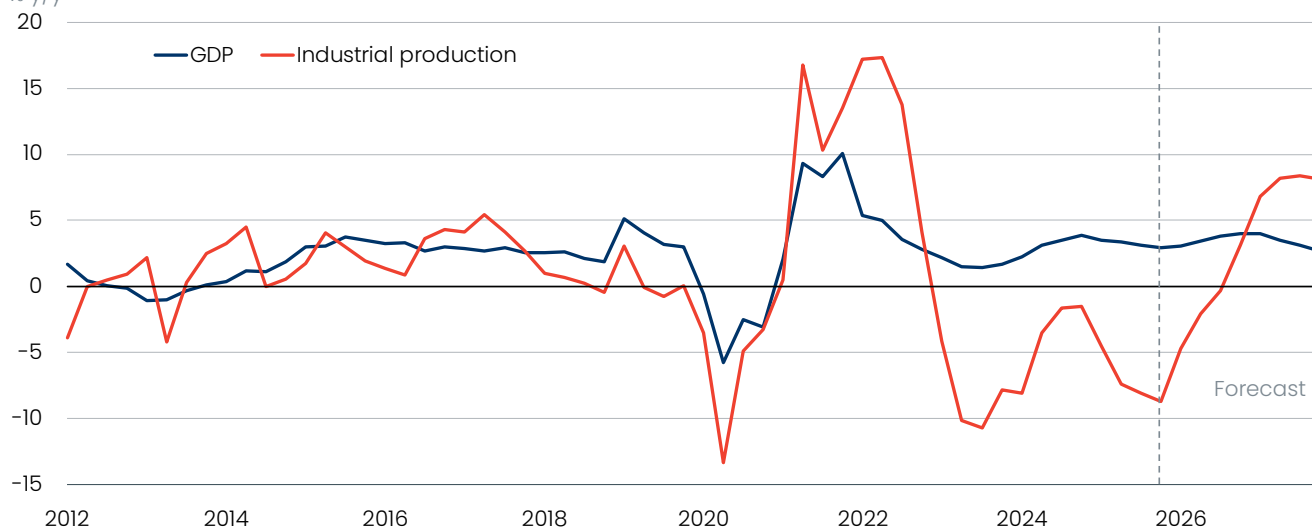
Unless the current coalition government facilitates strong policymaking and legislative change, we believe it's likely the rollout of RRF funds – equal to around 10% of Bulgaria's 2019 GDP – will be partial and underutilised. This could limit the country's growth potential. That said, we expect Eurozone membership to support institutional convergence and create a more stable, predictable environment, which could help attract investment over the medium term.

The industrial recovery remains fragile. Industrial production rebounded in March but fell again in April ([Chart 5](#)), leaving the sector vulnerable to weak European manufacturing demand, intense Chinese competition, and the fallout from the Iran-related energy shock. Potentially weaker-than-expected external demand remains a key downside risk.

Chart 4: Industrial production

Bulgaria: Real GDP and industrial production

% y/y



Sources: Oxford Economics, World Bank

What to watch out for

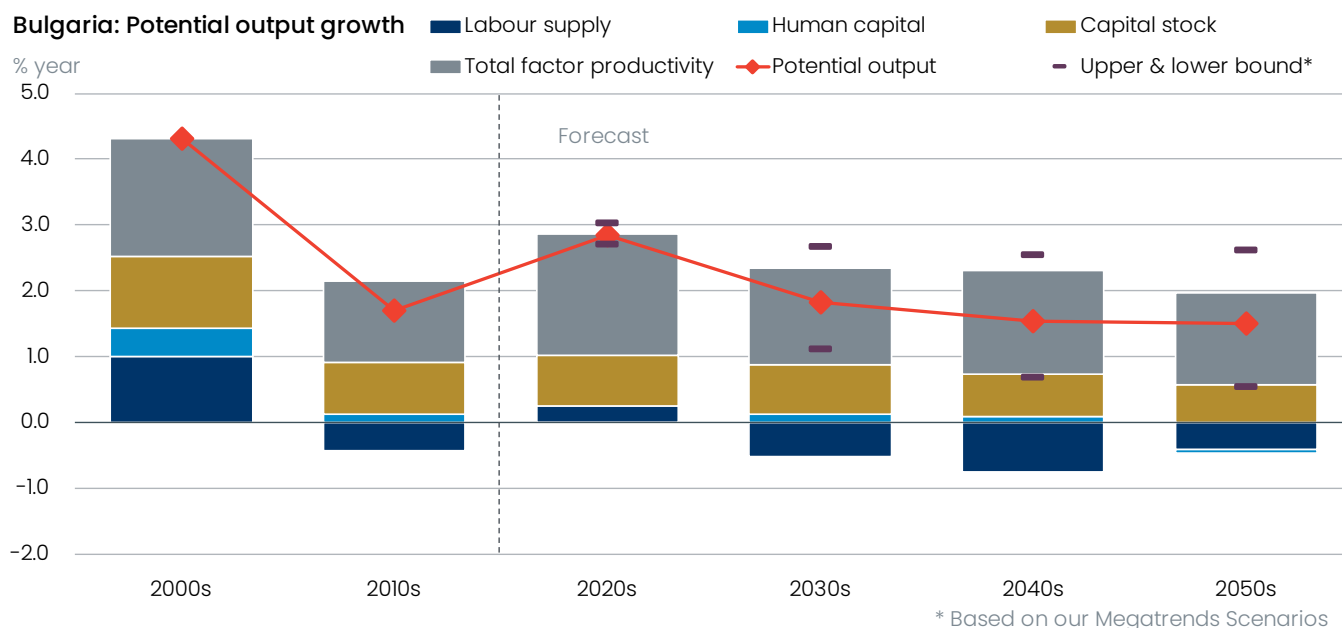
Fiscal slippage testing credibility in the euro era. Bulgaria's entry into the euro area has reduced near-term currency risk, but it also raises the cost of a visibly loose fiscal stance. The failed attempt to pass the 2026 budget showed how difficult it will be to deliver consolidation through new revenue measures, while spending pressures from pensions, public wages, defence, internal security, and investment continue to build. If the eventual budget mainly accommodates these pressures, rather than offsetting them, Bulgaria could face a more persistent deterioration in its fiscal position.

Political fragility weighing on reform delivery. The political backdrop has improved compared with the repeated-election cycle, but policy risk remains elevated. The new government has a clearer mandate than previous caretaker administrations, yet the backlash against the original budget highlights the narrow space for unpopular reforms. This matters beyond fiscal policy: weak legislative delivery could also slow the absorption of EU recovery funds and delay reforms in energy, anti-corruption, and public procurement, limiting the upside from euro-area membership.

Long-term prospects

Bulgaria's economy experienced rapid economic development in the 2000s, growing by 4.3% a year, driven by EU accession, economic reforms, and increased foreign investment. However, growth in the subsequent decade was less than half of that rate due to the lingering effects of the global financial crisis, demographic decline, political instability, and weak governance ([Chart 5](#)).

Chart 5: Our baseline forecast shows increasing reliance on productivity growth



Sources: Oxford Economics, Haver Analytics

We expect growth in the current decade to average around 3% a year, reflecting economic resilience following the pandemic, support from EU funding, and the medium-term boost from Eurozone accession. However, corruption and weak governance remain significant issues in Bulgaria, affecting public administration and the business environment. Although Bulgaria receives EU funding, bureaucratic inefficiencies and corruption have hindered the effective use and absorption of these funds, undermining investor confidence, slowing reforms, and curbing their impact on infrastructure and innovation.

Although Bulgaria's fertility rate is relatively high for Europe, it's still below the replacement rate – the fertility rate needed to keep the population stable without relying on immigration. This, coupled with [high emigration](#), particularly of young and skilled workers, is putting increasing pressure on the labour supply. Even assuming some continued inward migration, the labour force is set to shrink over the next 10 years.

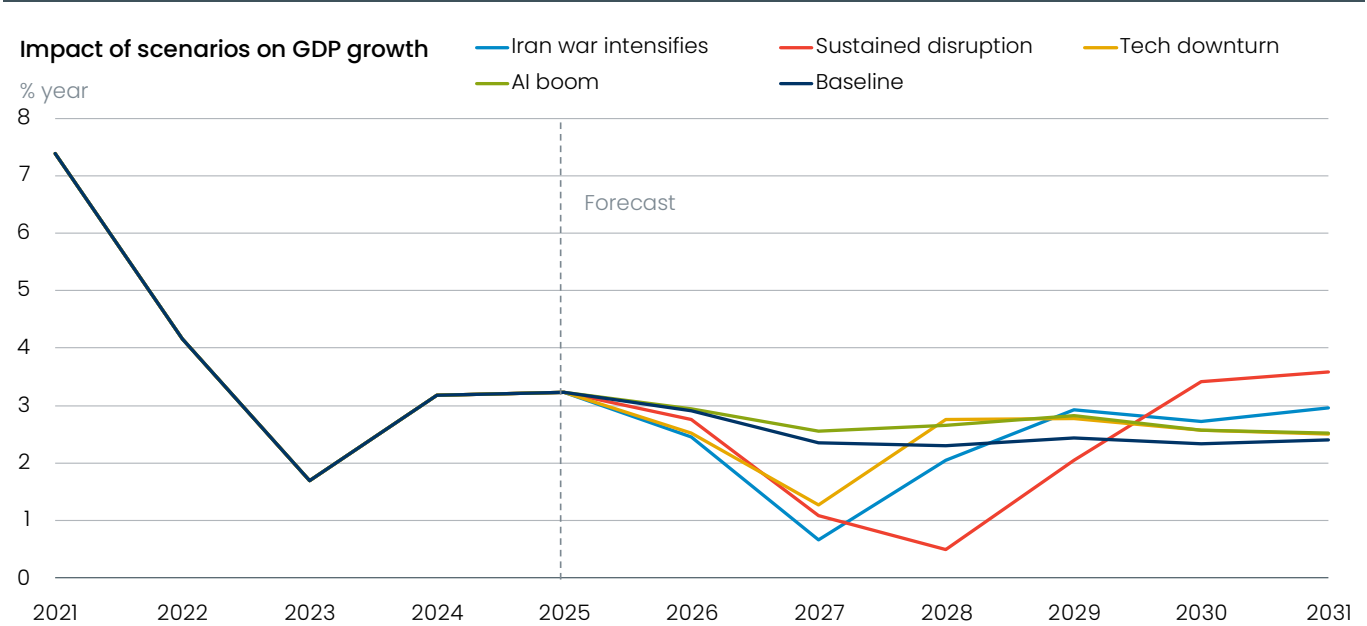
As a result, medium-term growth will depend more on capital deepening and a pickup in productivity compared with the past decade. We forecast boosts to productivity from the [adoption of AI](#) and investment in technology to help the transition towards net zero.

Scenarios

Exposure to key global risks

Sustained disruption. In this scenario, the Strait of Hormuz remains effectively closed until 2028. Energy prices remain elevated as a result. Oil prices rise to \$120 per barrel in the near term and edge higher to around \$130pb over the course of 2027 as inventories are drawn down. The US economy contracts throughout this year and financial markets weaken. World GDP growth slows to 2.2% in 2026, 0.2ppts below baseline, although global recession is avoided. In this scenario, Bulgaria's GDP growth would be 1.1ppt below our baseline over the next three years ([Chart 7](#)).

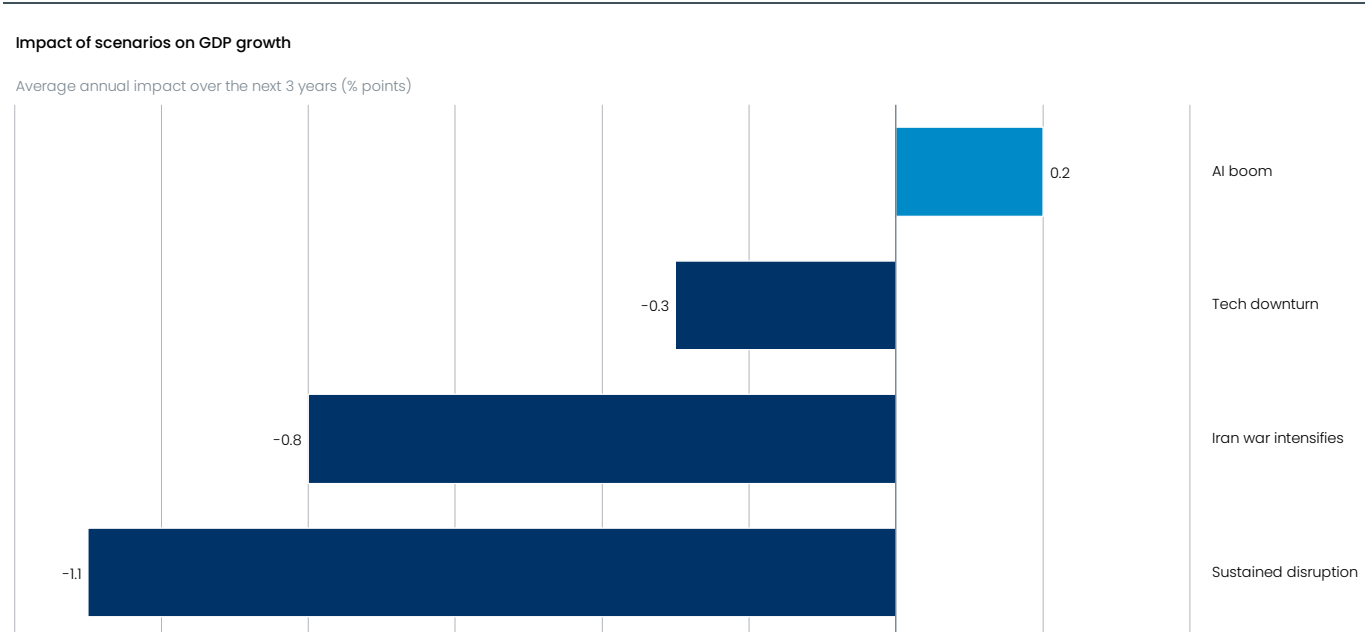
Chart 6: The Iran conflict remains the main source of risk



Source: Oxford Economics

Tech downturn. In this upside scenario, the global economy is bolstered by buoyant US tech investment and stock prices, at the same time as rapid AI adoption fuels gains in productivity. US tech capital spending continues to grow sharply, mirroring the upswing witnessed in the 1990s, while the world economy strengthens as robust US growth spills over globally. Global growth picks up to 3.1% in 2026, 0.3ppts above the baseline. Bulgaria's annual GDP growth would be 0.2ppts above our baseline over the next three years ([Chart 8](#)).

Chart 7: Risks are skewed to the downside



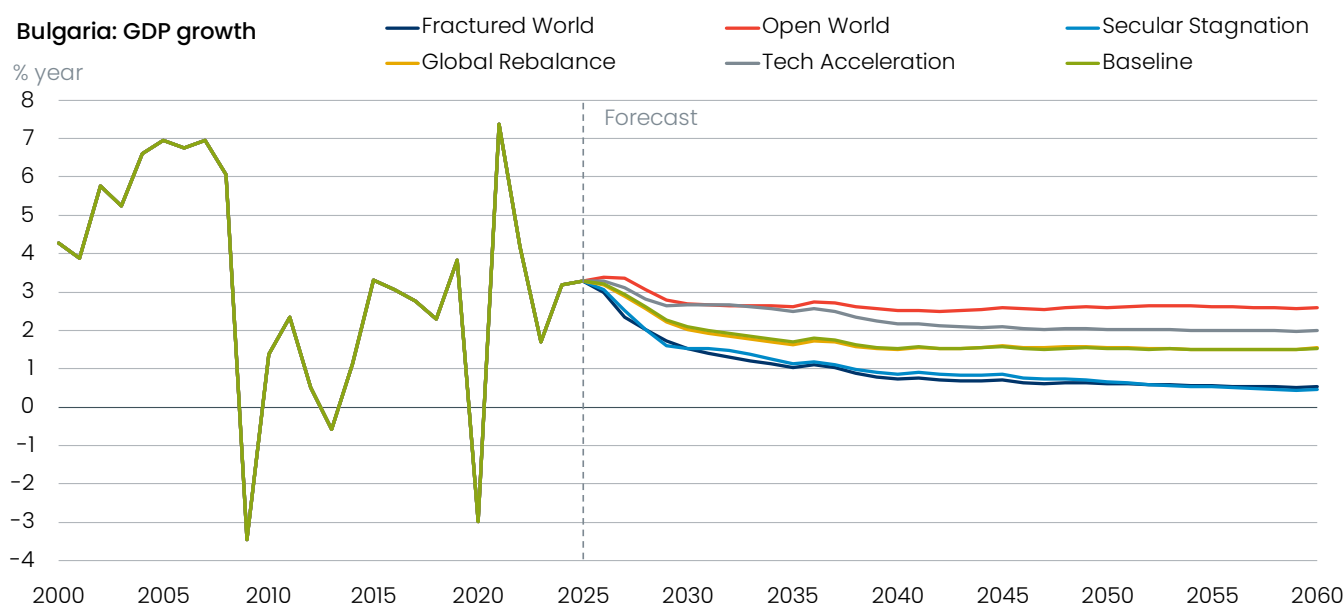
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological acceleration. In this scenario, technological advancement, including AI and other technologies, spurs innovation and boosts productivity growth. New technologies such as artificial intelligence are successfully deployed due to robust R&D, effective regulation, and strong uptake. Investment rises in the short run as firms deploy capital to fund computing, automation, and data infrastructure. Structural unemployment remains contained as policymakers support workers displaced by AI. Bulgaria's annual GDP growth would be 0.6pppts higher than our baseline forecast in the long term ([Chart 8](#)). Nominal and real interest rates would also be higher.

Chart 8: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in the baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and research and development. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. In this scenario, Bulgarian GDP grows 0.8ppt less than in our baseline every year.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	4.7	0.0	56
Market demand	4.0	0.0	27
Market cost	5.0	0.0	65
Exchange rate	3.5	0.2	77
Sovereign credit	4.2	0.1	69
Trade credit	7.0	0.0	53

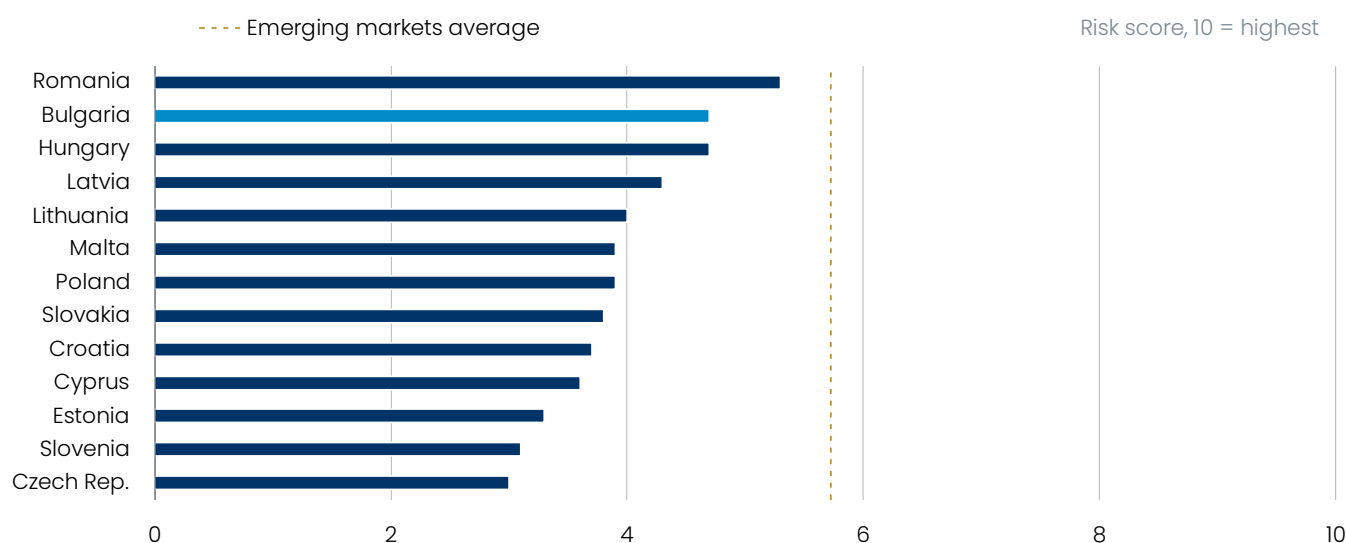
Source: Oxford Economics

Overall risk for Bulgaria: 3.1/10*

Bulgaria's overall economic risk score of 4.7 is moderate and unchanged from six months ago. The score is below the emerging markets average of 5.7 ([Chart 9](#)).

Chart 9: Bulgaria's overall risk remains below the emerging markets average

Economic risk: Bulgaria vs Emerging markets average



Source: Oxford Economics

Despite successive unstable coalition governments over 2021-2024, the Bulgarian economy demonstrated resilience after a 3.3% contraction in 2020 caused by the pandemic. We expect euro adoption and easing monetary policy to boost growth, with the next RRF payments providing an additional upside if milestones are met. However, slow reform implementation risks delaying or forfeiting some RRF funds.

Income inequality remains high, but we expect euro adoption to support a faster convergence toward average European income levels. The country also faces significant medium- and long-term growth challenges posed by a declining and ageing population, as well as the transition to a greener economy. As the deadline for meeting

the milestones to access RRF funding approaches, the government will need to identify domestic resources to finance public investment.

Market demand: 4.0/10

The demand risk score has remained stable at 4.0 over the past six months and is below the emerging markets average of 5.8.

Low unemployment and still-high wages have boosted real incomes, raising consumer spending. We expect demand to continue recovering over the medium term. We expect the Next Generation EU funds to spur greater investment and create new job opportunities, supporting the domestic recovery with funding expected to flow through 2026.

Market cost: 5.0/10

The market cost risk score of 5.0 is unchanged from six months ago and is below the emerging markets average of 5.9.

After easing from pandemic-related supply-chain disruptions and the 2022-2023 energy crisis, inflation is picking up again, partly due to global food price trends and domestic policy changes. Although labour costs in Bulgaria are still relatively low, recent high wage growth could pressure competitiveness in some sectors in the near term, even as euro adoption supports medium-term convergence in productivity and incomes.

Exchange rate: 3.5/10

Under our methodology, the exchange rate risk score is 3.5. This is somewhat low and broadly in line with that of other Eurozone countries, reflecting the credibility of EU and Eurozone institutions, notably the European Central Bank.

The euro exchange rate should remain broadly stable in the near and medium terms, following recent strengthening. We expect the ECB's policy rate to become slightly more euro-positive, but this shouldn't result in substantial depreciation, as it will be offset by higher equity investment. Europe's growth prospects remain weaker than those of the US, preventing more appreciation in the medium term.

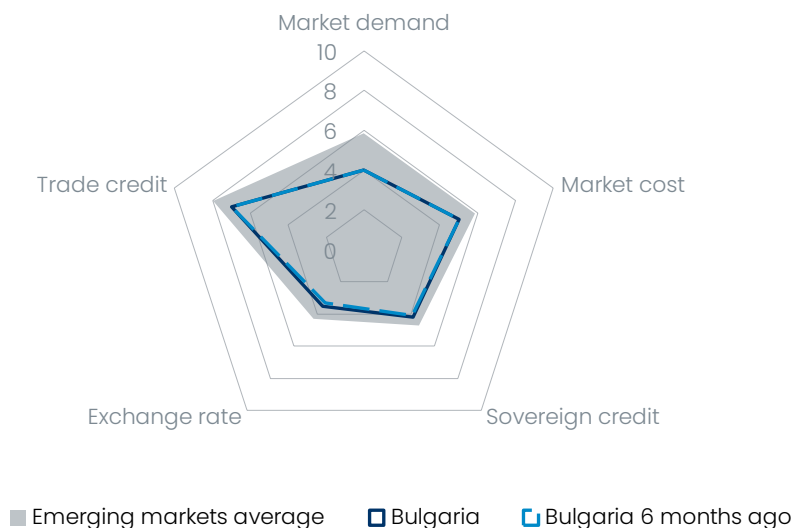
Sovereign credit: 4.2/10

The sovereign credit risk score of 4.2 is below the emerging markets average ([Chart 10](#)). All the major rating agencies give Bulgaria an investment-grade score, with Fitch in July upgrading Bulgaria to a BBB+ rating with a stable outlook, from BBB previously.

Bulgaria's favourable score reflects a combination of its healthy external and fiscal balance sheets. Following the coalition government's updated medium-term budget forecast for 2025-2028, we expect government debt to stabilise at around 32% of GDP by the end of 2035, which remains low compared with other EU countries. The risk score is constrained by weak institutions, corruption, the poor financial performance of state-owned enterprises, and a high level of non-performing loans in the banking sector. Improving compliance and making the tax system and social contributions more progressive would improve government revenue and unlock resources to fund investment and education.

Chart 10: Risk scores for Bulgaria are mostly below the emerging markets average

Economic risk: Bulgaria vs Emerging markets average



Source: Oxford Economics

Trade credit: 7.0/10

Trade credit risk – a measure of private-sector repayment risk – is unchanged from six months ago and broadly in line with the emerging markets average of 7.0.

Trade credit risk is high due to vulnerabilities in the financial system and concerns about corruption in government and business, which undermine the investment climate. The prevalence of Greek banking subsidiaries in Bulgaria exposes the banking system to renewed strains in the Greek financial system.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).